

Executive Summary

Early Retirement and Labour Force Participation: Evidence from Germany's 'Rente mit 63' Reform

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1. The *Rente mit 63* reform (2014) allows workers with ≥ 45 contribution years to retire at age 63 without actuarial deductions, sharply reducing retirement age for eligible cohorts.
2. Minimum eligibility ages vary by birth cohort (63y0m for cohort 1951 to 63y10m for cohort 1955), providing quasi-experimental variation exploited in a difference-in-differences design.
3. Using SOEP panel data (2010–2019), treated cohorts (born 1952–1955) are compared to a control group with 41–44 contribution years, who face identical age rules but are ineligible for the reform.
4. The preferred individual fixed effects specification yields a DiD coefficient of -0.153 (clustered SE), indicating that the reform reduced labour force participation by roughly 15 percentage points.
5. Dynamic DiD estimates show pre-reform parallel trends and a treatment effect peaking in 2016–2017, consistent with cohorts 1952–1953 reaching eligibility age in those years.
6. Placebo regressions at non-qualifying contribution-year thresholds confirm that no spurious pre-trends drive the main result.
7. Interaction-based heterogeneity tests by region (East/West), income tertile, and education return no statistically significant differences, indicating a broadly uniform treatment effect.
8. Subgroup regressions show suggestive, if insignificant, larger effects for East German workers and lower-income tertiles, consistent with stronger financial retirement incentives in these groups.
9. No shift from full-time to part-time employment is detected among workers remaining in the labour force, ruling out gradual disengagement as a substitute for full retirement.
10. Partner employment outcomes show no significant spillover effects, suggesting that joint retirement motives did not amplify the aggregate labour supply reduction.
11. The reform produced a sizeable, persistent labour supply contraction among older workers, raising concerns about long-run pension sustainability and informing the broader design of early retirement policies.